

But the more important lesson was on *how to think long term*. I was behaving like the former trader I was, and not the investor I had become. Trade management is important, but mine did not properly align with my time horizon or risk tolerances. They eventually fell into sync, but it—expensively—took time.

Robinhood's 2014 seed round

“That is the dumbest investment idea I have ever heard.”

That was what I told Howard Lindzon, who runs a successful venture fund in San Diego and was an early investor in too many tech winners to list (Facebook, Twitter, etc.). We were sitting outside the Ferry Building in San Francisco and Howard was pitching me on putting money into the seed round of Robinhood Markets Inc., a new app that allowed people to trade stocks for free.

“Howard, the world is moving from active to passive, from stock trading to ETFs. Why in the world do I want to own an app that gives trades away for free to young people with no capital? How are they ever going to generate revenue, let alone profits?” I smugly asked.

I do have a defense, weak though it may be: Robinhood was totally “off brand” from how we were investing at my firm and what I was writing for Bloomberg. I could argue that Robinhood's success was due to bored millennials looking for something to do during the pandemic lockdowns, but what good would that do?

Still, it would have been a fantastic hedge, and the returns from the seed round have been nothing short of eye-popping. It was a nine-figure winner for Lindzon; one that I missed. My mea culpa to Howard was, “*Wow, I really suck!*”

I learned several things:

1. Stay in your lane. My expertise was not in the venture space, so I